

KHRONOS RESEARCH STUDIO

FFC — Fauji Fertilizer Company Limited

Institutional research delivery | Fertilizer

Coverage tier	FULL
Generated	2026-09-29T18:50:38.023106+00:00
Source records	3
Financial series	14

Research use only. This report is decision support, not a regulated investment recommendation. Market data may be delayed.

1. Executive overview

A verified business description is not available.

2. Financial snapshot

Metric	Latest reported value
Revenue	PKR 159.47mn
Profit after tax	PKR 29.67mn
EPS	Not available
Total assets	PKR 223.28mn
Total equity	PKR 61.85mn

3. Profitability, leverage and valuation

Ratio	Latest	Unit
Revenue Growth (YoY)	45.82	percent
Profit After Tax Growth (YoY)	48.00	percent
Net Profit Margin	18.61	percent
Gross Profit Margin	40.29	percent
Debt-to-Assets	0.72	ratio
Debt-to-Equity	2.61	ratio
Current Ratio	0.93	ratio
Quick Ratio	0.92	ratio
Return on Assets	12.81	percent
Return on Equity	54.35	percent
Asset Turnover	0.69	ratio
Inventory Turnover	8.83	ratio

4. Investment case

Bull case

FFC holds the largest urea market share in Pakistan on the back of a 3,400-dealer, 152-warehouse distribution network built over decades, plus 6 farmer advisory centres that reinforce brand loyalty. Over 2021-2023 it out-executed Fatima on nearly every metric: GPM +11% vs Fatima's -15.7%, average ROE 45.5% (2.6x Fatima's), average EPS 2.1x higher, and average ITR/ATR both meaningfully ahead. Debt-to-equity fell 12.3% as FFC reinvested profits rather than layering on leverage — a genuinely stronger capital structure than the peer group, not just a stronger income statement.

Base case

FFC continues to defend its #1 urea share through pricing discipline and distribution reach, with margins tracking gas and RM cost pass-through rather than structural expansion. Working capital stays a persistent, manageable drag (average current ratio ~1.01, declining trend) rather than a solvency issue, funded by GIDC-related payables and short-term borrowing that FFC has historically serviced on time.

Bear case

The single biggest risk flagged in the RAP is structural gas supply: Pakistan already consumes more gas (4,100 MMcf/d) than it produces (3,227 MMcf/d), and a report cited in the research warns of declining gas resources within the coming decade — a direct threat to urea feedstock. Water shortage for ammonia cooling is a secondary operational risk. The global shift toward organic fertilizer (projected ~9.2% CAGR 2024-2030) is a slower-moving but real long-term demand risk for chemical-based fertilizer producers generally.

5. Recent announcements

No announcements are stored for this issuer.

6. Sources and lineage

analyst_report_manual_entry | tier primary | fetched 2026-09-29T18:46:02.981287+00:00

operational_kpi_manual_entry | tier primary | fetched 2026-09-29T18:46:05.848892+00:00

thesis_source | tier primary | fetched 2026-09-29T18:46:08.285859+00:00